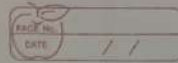


Ind AS 16 Property, Plant and Equipment



1 Definitions

Tangible items Production or supply
Held for use in of goods or services
Expected to be used for rental to others
for more than one period for administrative

Living plant
Used in the production or
supply of agricultural produce
Bearer plant expected to bear produce
More than one period

2 Recognition criteria

Probable future Economic Benefits
Cost can be measured Reliably

- i Spare parts and standby equipment (if meet definition)
- ii Aggregation of individual insignificant items (if appropriate)
- iii Safety and environmental equipment

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3 Measurement

Initial measurement always on cost

3.1 Purchase

Purchase price

(-) T.D

(-) Rebates

(+) Taxes

(+) Directly attributable expenses

Test Expense - Test Income

(Excess income will be deducted from cost)

Does not include

Inauguration, Advt., Training, Admin, general O.H, initial losses

Also, income during under construction of PPE

(-) Cost of decommissioning - At P.V (unwind every year)

3.2 Deferred Consideration

Do not add Int

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3.2 Self Constructed

Same as purchase (add Borrowing cost if as per AS 23)

3.3 Exchange

IF outgoing - Always at C.A

IF Incoming -

1st pref - F.V of Asset up + cash paid (if any)

2nd pref - F.V of Asset acquired

3rd pref - C.A of Asset given up + cash paid (if any)

Transaction Lacks commercial substance

Asset Exchange with same nature, same characteristics

C.A of Asset given up + cash paid (if any)

3.4 Govt Grant

Covered in IND AS 20

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Subsequent Measurement

1 Cost Model

Day ① PPE 10 Lakh
 (-) Depn 1yr (1 lakh)
 9 Lakh

2 ReValuation Model

Day ① PPE 10 Lakh
 (-) Depn 1yr (1 lakh)
 9 Lakh

F.V after 1yr 12 Lakh
 Revaluation gain 3 Lakh

Frequency of Revaluation

Annually - IF Significant and Volatile changes
 Every 3-5 yrs - IF insignificant changes

Treatment of Accumulated Depn

Day ① PPE 100 Lakhs
 (-) Depn 2yrs (40 Lakhs)

$$\frac{100 \times 2}{5 \text{ yrs}}$$

60 Lakh C.A
 F.V 75 Lakh
 Revaluation Gain 15 Lakh

1 Eliminate Accumulated Depn

Acc-Depn A/c - Dr 40
To h-Block (PPE) 40

PPE A/c - Dr 15
To Rev Gain A/c (OCI) 15

B/S Extract

PPE	60
+) Gain	15
PPE	75

2 Do not Eliminate Accumulated Depn

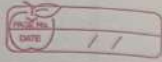
1 Find gain % = $\frac{\text{Rev. gain}}{\text{C.A}} \times 100$

$$= \frac{15}{60} \times 100 = 25\%$$

2 Apply Gain

h-Block $100 \times 25\% = 25$

Accumulated Depn $40 \times 25\% = 10$



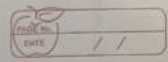
3 Pass Journal Entry

G.B (PPE) A/c -Dr 25
To Acc. Deph 10
To Rev. Gain 15

B/s Extract

PPE	125	} up 25 %
(-) Acc. Deph	50	
N.B	75	

Revaluation to be Applied to Entire Class of Assets



Teacher's Signature:.....

Teacher's Signature:.....



Component Accounting

Private Jet

100 cr

(5 yrs) Engine

Cost - 20 cr

Depn (4 cr)

Body (10 yrs)

80 cr

(8 cr)

16 cr

72 cr

Total - 88 cr

In Case of Part Replacement

New Engine cost $\rightarrow$ 24 cr (life 8 yrs)

Pvt Jet (C.A) 2nd Yrs Day 1 88 cr

(+) New Engine Cost 24 cr

(-) Old Engine (C.A) (16 cr)

Revised C.A 96 cr

New Engine (8 yrs)

C.A 24 cr

Depn (3 cr)

21 cr

Body (9 yrs)

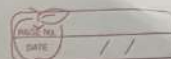
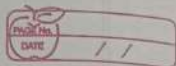
72 cr

(8 cr)

64 cr

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Teacher's Signature:



Subsequent Cost Incurred

Repairs & Maintenance

P&L

Part Replacement

Component Accounting

Major Inspection & overhaul

Component Accounting

Pvt Jet (20 yrs)
100 cr

Inspection
Cost 10 cr
Life (5 yrs)
Depn (2 cr)

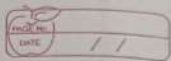
Other
90 cr
(2 yrs)
(4.5 cr)

C.A ₹ 8 cr

84.5 cr

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Teacher's Signature:.....



6 Land & Building

Building Depn

7 Depn

7.1 Methods

SLM

WDV

Units of Production

7.2 Period

Start - Ready to use

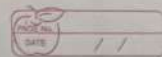
End - Sale

7.3 Amount

Cost - Residual Value

8 Residual Value

9 Useful life



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Teacher's Signature:.....

12 De Recognition

Sale / life over

13 Changes in Existing DeCommissioning Restoration and Similar liabilities

Teacher's Signature:.....

Teacher's Signature:.....